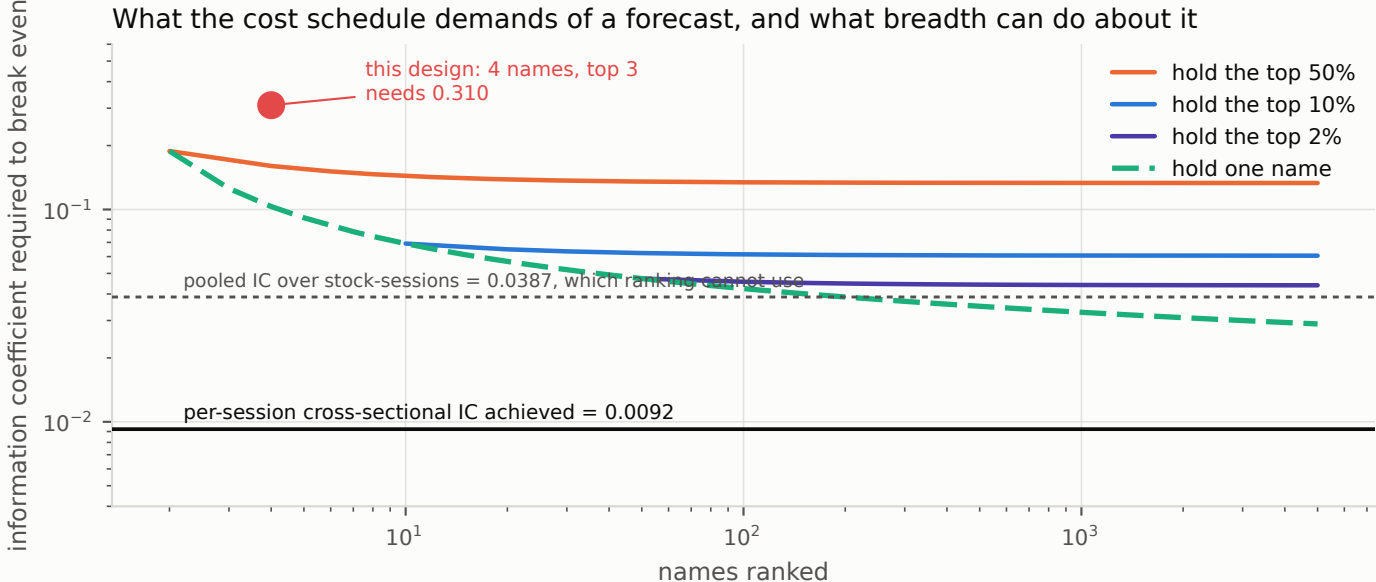


What the cost schedule demands of a forecast, and what breadth can do about it



At a round-trip cost of 20.2 basis points against a target volatility of 1.90%, holding the top 3 of 4 names requires a cross-sectional information coefficient of 0.310, against the 0.0092 achieved per session: short by a factor of 34. The two regimes differ. At a fixed holding fraction the selection score converges to the mean of that tail of the normal, so breadth stops helping. Holding a fixed number of names it grows without bound, so breadth always helps eventually -- the question is whether the universe it needs exists.